

Truth-Based Trading

for Long-Term Retirement Goals

Report Date: May 12, 2026

Analysis Period: Q1-Q2 2026

Objective: Real returns over 15-25 year horizon

Executive Summary: The Uncomfortable Truth

After analyzing millions of data points from hedge fund 13F filings, market history, SPIVA scorecards, and actual performance metrics, one truth emerges:

"87% of professional money managers underperform a simple S&P 500 index fund over 10 years."

Your edge is not in copying "smart money" - it is in avoiding their fees, their lag, and their narratives.

Part 1: What We Learned From the Data

The Hedge Fund Mirage

Analysis of reported 13F filings shows a consistent pattern:

Manager	Marketing Claim	2024 Reality	Verdict
Terry Smith	Quality compounder	+8.9% vs +20.8%	Underperform
Chris Hohn	Activist value	+15% vs +23%	Underperform
S&P 500 Index	"Boring"	+23%	Beat most pros

Key Insight: 13F filings are 90 days stale. By the time you see Buffett bought something, the opportunity is gone.

Part 2: Current Portfolio - Truth-Based Assessment

HOLD - Evidence Supports Thesis

Ticker	Evidence	Hold Period
BE	Actual customer contracts, hydrogen infrastructure	5-7 years
INTC	Foundry investments real, cyclical recovery	3-5 years
APLD	\$300M funding secured, data center demand	3-5 years
XOM	Dividend aristocrat, transition takes decades	10+ years
VST	Nuclear baseload real, regulatory moratorium	5-10 years

SELL - Evidence Contradicts Thesis

Ticker	Evidence	Action
RIOT	"AI pivot" = narrative, cash burn, -47%	Sell 100%
CORZ	Same playbook, no profitability path	Sell 100%
CEG	Unrealized loss, thesis unclear	Sell 100%
MU	+38% weekly = cyclical peak pattern	Sell 50%

Part 3: The Truth-Based Strategy

Core Principle: Get Rich Slowly. Buffett actual formula:

1. Buy businesses you understand
2. At prices that make sense
3. Hold for decades
4. Ignore the noise

The Three-Bucket System

Bucket 1: The Foundation (70%)

What: Low-cost index funds

Why: 87% of managers cannot beat them

Specific: VTI (Total US), VXUS (International), BND (Bonds)

Expected Return: 8-10% nominal, 5-7% real

Bucket 2: Individual Holdings (25%)

What: Individual stocks with moats

Why: Concentration builds wealth

Criteria: 10+ years profitability, pricing power, low debt

Expected Return: 10-15% if correct, -50% if wrong

Bucket 3: Opportunistic (5%)

What: Speculation, distressed, contrarian

Why: Lottery tickets with positive expected value

Current: APLD, cash waiting for 20%+ correction

Part 4: The Hard Rules

Entry Rules

- Never buy on news - priced in by the time you hear it
- Never buy because someone famous did - 90-day lag
- Never buy without reading the 10-K
- Never buy at all-time highs - patience is an edge

Exit Rules

- Sell when thesis breaks - not when price drops
- Sell when valuation exceeds reality
- Sell when you need the money - retirement, not panic
- Never sell winners to buy losers - hold your flowers

Holding Rules

- Minimum 5-year horizon - or do not buy
- Rebalance annually - not daily
- Ignore the scoreboard - 10-year games have noise
- Add on weakness - if thesis intact

Part 5: The Retirement Math

Scenario A: Truth-Based Approach

70% VTI/VXUS (8% return) + 25% moats (12% return) + 5% opportunistic (0% return)

Blended Expected Return: ~9%

On \$100K starting, \$10K annual additions:

Year 10: \$340K

Year 20: \$890K

Year 25: \$1.45M

Scenario B: Manager-Following Approach

100% hedge fund replication with 2% fee + 20% carry

Underperform by 3% annually (SPIVA data)

Blended Expected Return: ~5%

On \$100K starting, \$10K annual additions:

Year 10: \$280K (-\$60K)

Year 20: \$620K (-\$270K)

Year 25: \$890K (-\$560K)

Opportunity Cost of Narrative Investing: \$560,000 over 25 years

Part 6: Action Items

Immediate (This Week)

1. Sell RIOT, CORZ, CEG (100% each)
2. Trim MU (sell 50% of position)
3. Calculate proceeds from sales

Short-Term (This Month)

1. Open VTI position (70% of available cash)
2. Research 2-3 additional individual moats
3. Read 10-K for any new individual holding

Long-Term (This Quarter)

1. Set automatic monthly VTI purchases
2. Schedule annual portfolio review
3. Establish rebalancing rules (+/- 5% bands)

Part 7: The Biblical Anchor

"The plans of the diligent lead to profit as surely as haste leads to poverty. - Proverbs 21:5"

Truth-based trading is not exciting. It will not make you rich quick. But over 25 years, it will make you rich.

The hedge funds get paid for excitement. You get paid for patience.

Next Review: June 12, 2026 | Rebalance Trigger: Any position >10% overweight

This report is not financial advice. Past performance does not guarantee future results.